

Alphabet Inc. (GOOGL.US)

Communication Services · Internet Content & Information
Large Cap (>\$200B) · Report Date: June 26, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-26

UNDERWEIGHT

Blended Target: \$316.55

DCF + Comps + Analyst (see cross-check table)

Implied upside: -6.2%

Price (Jun): \$337.39

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$316.55 (-6.2% vs \$337.39); DCF 18% + Comps 82% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Analyst consensus excluded from blend (Analyst bullish vs muted comps (stale consensus)).

INVESTMENT THESIS / EXECUTIVE SUMMARY

Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **UNDERWEIGHT** rating; blended target \$316.55. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.12T	Shares Out.	5867.2M
52-Week Range	\$171.73 – \$408.61	P/E (TTM)	25.8x
P/B	8.5x	Beta	1.24
Avg Volume	30.49M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$422.50B	Rev Growth	+21.8%
Op. Margin	36.1%	FCF (TTM)	\$73.27B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	350,018	402,836	490,654	569,208	637,268
Revenue Growth (%)	N/A	15.1%	21.8%	16.0%	12.0%
Net Income (\$M)	100,118	132,170	160,983	186,756	209,087
Net Income Growth (%)	N/A	32.0%	21.8%	16.0%	12.0%
Gross Margin (%)	58.2%	59.7%	60.4%	60.4%	60.4%
Net Margin (%)	28.6%	32.8%	32.8%	32.8%	32.8%
ROE (%)	30.8%	31.8%	38.8%	40.8%	43.5%
EPS (\$)	17.06	22.53	27.44	31.83	35.64
Book Value / Share (\$)	55.41	70.78	70.78	78.03	81.93
P/E (x)	19.77	14.98	12.30	10.60	9.47
P/B (x)	6.09	4.77	4.77	4.32	4.12
Dividend Yield (%)	26.0%	26.0%	26.0%	26.0%	26.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$258.06	-23.5%	18%	Included in blend
Profile template weights	—	—	—	High-growth technology: DCF 15%, Comps 70%, Analyst 15%
Comps — EV/EBITDA (peer median)	\$360.70	+6.9%	—	Peer median 11.9x
Comps — P/S (peer median)	\$297.46	-11.8%	—	Peer median P/S 4.1x
Comps — Blended (avg. of available multiples)	\$329.08	-2.5%	82%	Included in blend
Analyst consensus (Yahoo Finance)	\$432.83	+28.3%	0% (excluded)	Analyst bullish vs muted comps (stale consensus)
Blended target (weighted)	\$316.55	-6.2%	100%	DCF 18% + Comps 82%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.80%
Terminal g	4.00%
FCFE growth	10.00%
Base FCFE	\$73.27B
PV explicit (5Y)	\$377.30B
PV terminal	\$1.14T
Equity value (adj.)	\$1.51T
Implied price	\$258.06
vs. current	-23.5%

INDUSTRY ANALYSIS

1. Industry Overview

Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It operates through Google Services, Google Cloud, and Other Bets segments. The Google Services segment provides products and services, including ads, Android, Chrome, devices, Gmail, Google Drive, Google Maps, Google Photos, Google Play,...

2. Key Trends

- Strong top-line growth (21.8% YoY)
- High operating leverage (36.1% margin)
- Above-market volatility (β=1.24)
- Sector: Communication Services | Industry: Internet Content & Information

3. Risk Factors

- Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
META	Meta Platforms, Inc.	\$1.40T	20.0x	12.7x	32.8%	+33.1%
NFLX	Netflix, Inc.	\$310.80B	23.8x	21.2x	28.5%	+16.2%
DIS	Walt Disney Company (T	\$171.55B	15.8x	11.1x	11.5%	+6.5%
SNAP	Snap Inc.	\$7.31B	N/A	-35.9x	-6.7%	+12.1%
GOOGL*	Alphabet Inc.	\$4.12T	25.8x	25.6x	37.9%	+21.8%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.